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Application Software: We Move to a Neutral View as Uncertainty of AI Disruption Lingers

Key Takeaways

- Application software firms have borne the brunt of the software industry sell-off this year. Heightened concerns about AI displacing software have been the main driver of the steep declines.
- We have yet to see impactful changes to enterprise buying behavior. On the contrary, AI tool adoption among software providers continues to soar, with AI annual contract value (ACV) and annual recurring revenue (ARR) rising rapidly.
- That said, the medium- to long-term dynamics are less clear, as AI capabilities are advancing at a breakneck pace. Although software firms contend that they maintain their competitive moats, it will take time both to validate these claims and to restore investor confidence in the industry. Meanwhile, volatility could stay elevated. For these reasons, we are moving to a neutral view.
- However, we think it is important to remain invested in select software companies as this allows investors to capture price appreciation driven by multiple expansion from current depressed levels, as long as the industry proves resilient to disruptions. We favor firms that we view as best positioned to navigate this wave of uncertainty, such as **MSFT**, **NOW**, **CRM**, and **PLTR**.

Positive (+) or Negative (-) Implications
(+) Microsoft Corporation (MSFT)
(+) Palantir Technologies Inc. (PLTR)
(+) Salesforce Inc. (CRM)
(+) ServiceNow Inc. (NOW)
(-) Adobe Inc. (ADBE)
(-) Atlassian Corporation (TEAM)
(-) Datadog Inc. (DDOG)
(-) HubSpot Inc. (HUBS)
(-) Intuit Inc. (INTU)
(-) SAP SE (SAP)
(-) Workday Inc. (WDAY)

Fundamental Context

After a tumultuous start to the year, the software industry is still struggling to recover. Price declines have been swift and perplexing as they started on little news flow outside of company earnings reports. Valuation compression (-26% YTD) has been primarily driven by AI disruption fears, rather than actual fundamentals. We saw early signs of price stabilization with last week's SaaS earnings reports (WDAY, CRM, INTU). However, we are taking a neutral view on software, as price volatility is still high and there is a lack of clarity on investors' risk appetites and confidence in the industry's ability to weather AI disruptions. Software's defensibility against AI will take time to validate or disprove, in our view. In the near term, we continue to see strong fundamentals and evidence that AI is a tailwind for software companies, while rising profitability and shareholder-friendly activities are keeping us from a bearish view. For these reasons, we believe investors are best positioned in high-quality names within application software that are seen as most resilient to AI disruptions, but suggest moving to a more neutral weight on the industry.

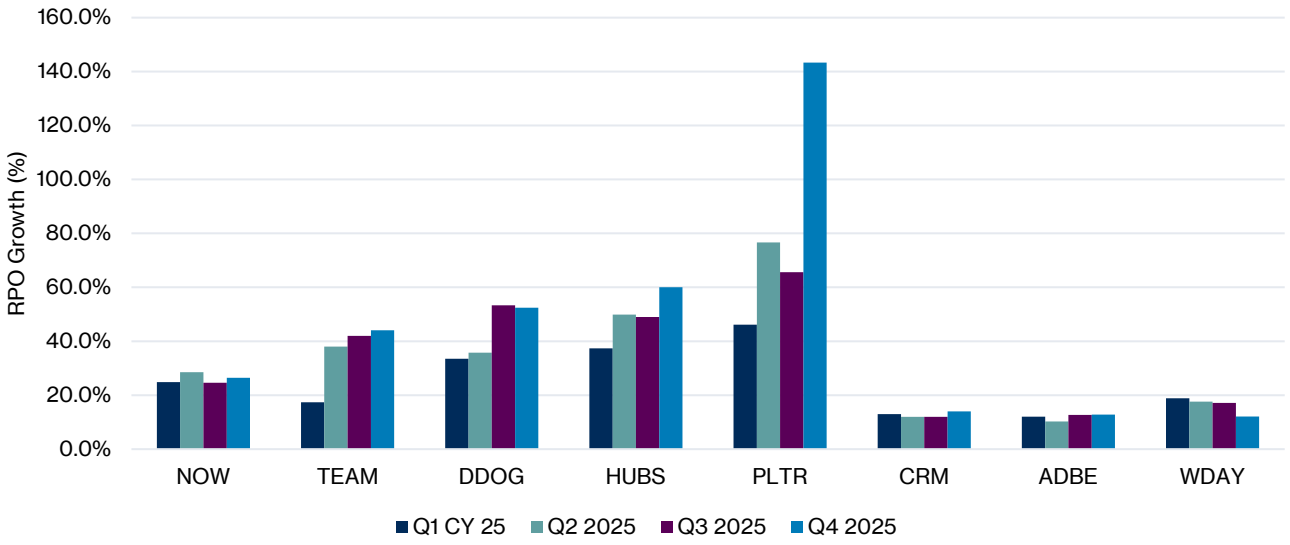
Table 1: Key Points to the Bull and Bear Case

Bull Case	Bear Case
▪ Strong RPOs and Backlogs – indicates larger accounts and longer commitments	▪ Little change in software demand for now, but medium to long-term impact is uncertain
▪ AI ACVs/ARRs rising rapidly from increased adoption	▪ Rapid pace of innovation; model capabilities advance quickly and AI tools and use cases are broadening ▪ Ample funding supports R&D initiatives
▪ LLMs and traditional software can co-exist to provide optimal value for customers	▪ AI contribution to the top line is still small; acceleration limited to a few companies
▪ Profitability is improving, even on a GAAP basis ▪ Operating margins are expanding for many firms and FCF generation is strong	▪ Monetary and fiscal policy trajectories are becoming more uncertain
▪ Stock-based compensation (SBC) as a percentage of sales is declining ▪ Increased authorization and accelerated share repurchases, insider buying, and pauses in management stock selling since sell-off	▪ Technical indicators have not confirmed a bottom

Source: CFRA.

Strong remaining performance obligations (RPOs) signal multi-year commitments and expanding investments. From a fundamental lens, we continue to see SaaS resilience stemming from longer-term backlog commitments and current AI adoption strength. RPOs, or backlog, show the total contracted value of software and services that have yet to be recognized as revenues, which is typically either supported by longer contract durations (subscription terms stretching multiple years), or larger purchases. Either way, it reflects larger commitments from the vendors' customers as they consume more solutions or desire to stay with their vendor for a longer time. RPO levels for the major SaaS companies have gained pace in the last two to three quarters, accelerating in some cases, demonstrating rising demand for core and new AI solutions.

Figure 1: Strong RPO Growth Implies Larger Multi-Year Commitments with Vendor



Source: CFRA, Company 10Qs.

AI-attributed ACVs/ARRs are climbing as customers double-down on AI tools, suggesting rising AI monetization. Traction for AI products has been robust, boosting ARRs and ACVs for firms. Commentary has been consistent on the progress of AI adoption across the software companies in our coverage. While monetization was immaterial last year, Q4 earnings saw management highlighting numerous AI deals and consumption data points that suggest that ramps are starting to occur with AI adoption. For example, NOW reported that net new ACV for its Generative AI solution, Now Assist, more than doubled Y/Y in Q4 2025, exceeding $600 million in ACV. This compares to $250 million in ACV in May 2025, achieved over a 1.5-year period, and suggests that demand has started to inflect. The company closed 35 Now Assist deals over $1 million in the fourth quarter alone, while deal volumes for other AI products, such as its AI control tower, tripled Q/Q. Likewise, with many of our larger application software names, we see encouraging metrics pointing to expanding demand and usage of vendor-provided AI tools.

Table 2: AI ACVs/ARRs are Growing at Significant Rates

Company	AI Adoption and Monetization Indicators
CRM	▪ Agentforce (AI Agent platform) ARR reaching $800 million (+169% Y/Y) ▪ 29,000 Agentforce deals in the last 15 months (+50% Q/Q) ▪ Over 60% of Agentforce and Data 360 bookings came from existing customers ▪ Agentforce and Data 360 ARR exceeded $2.9 billion (+200% Y/Y)
NOW	▪ Now Assist surpassed $600 million in ACV (vs. $250 million in May 2025 and $0 in September 2023) ▪ Now Assist net new ACV more than doubled Y/Y in Q4 ▪ 35 Now Assist deals over $1 million in Q4
SAP	▪ More than two-thirds of Q4 cloud orders included AI products ▪ Joule co-pilot uses increased 9x in 2025
TEAM	▪ Rovo Agent surpassed 5 million monthly active users (+1.5 million from Q3) ▪ Record number of $1 million ACV deals, up nearly 2x Y/Y ▪ RPO acceleration (+44% Y/Y) to $3.8 billion
HUBS	▪ >8,000 customers on Customer Agent; 10,000 customers on Prospecting Agent; 2,500 on Data Agent ▪ Number of customers with 500 or more seats grew 5x, multi-hub adoption accelerated ▪ Customers are purchasing more seats
ADBE	▪ Generative AI consumption grew 3x Q/Q ▪ Total new AI-influenced ARR exceeds overall book of business and accelerated throughout FY 25 (Nov.)
WDAY	▪ $100 million in new ACV generated in Q4 from emerging AI products ▪ Overall ARR from emerging AI products now exceeds $400 million
INTU	▪ Over 3 million customers are using agents for work; repeat engagement of more than 85% ▪ AI-enhanced capabilities are driving adoption of premium tiers
MSFT	▪ Seat additions with Microsoft 365 Copilot (+160% Y/Y), reaching 15 million paid seats ▪ Number of large customers of Microsoft 365 Copilot (over 35,000 seats) tripled ▪ Fabric, the data analytics platform that supports AI actions, has ARR of $2 billion, up 60% Y/Y
DDOG	▪ 650 AI-native customers using its observability platform, 14 of the top 20 AI companies ▪ Signed 18 deals over $10 million in total contract value in Q4 ▪ Sales of enterprise (non AI-native) customers accelerated to 23%

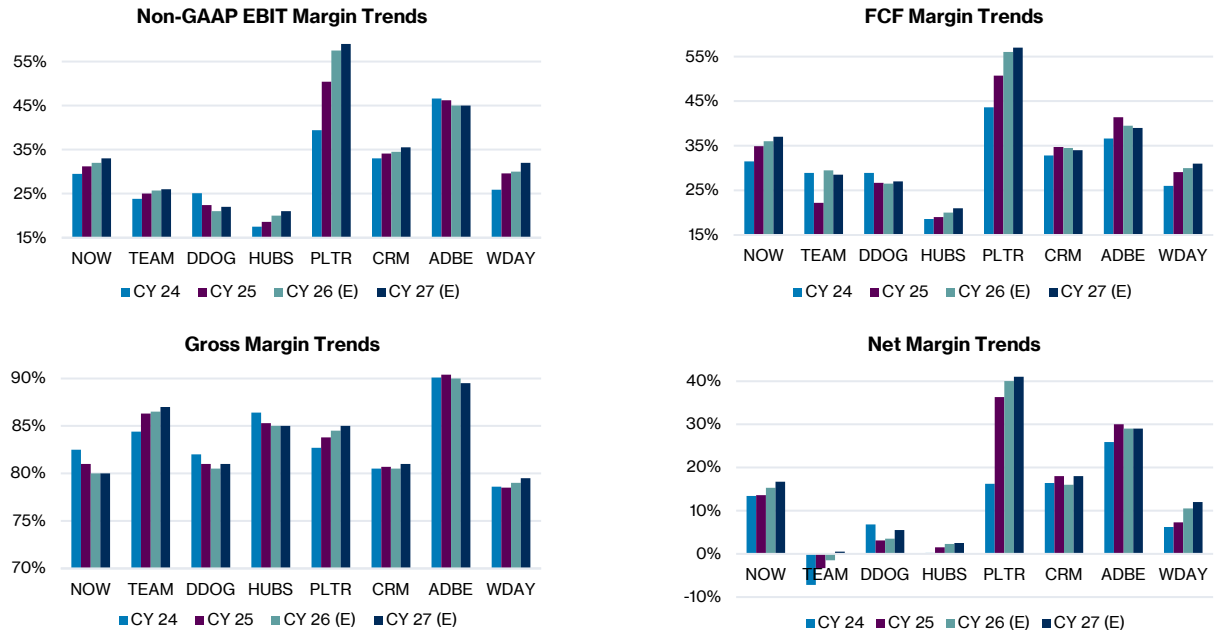
Source: CFRA, Company 10Qs, Investor presentations.

We reiterate that the DIY approach and off-the-shelf software procurement are not necessarily mutually exclusive. LLM-powered tools enable users to build customized software at significantly less time and cost than before, with reports showing that IT teams are generating tools to replace areas of friction where commercial products have not been the best fit for the company's internal processes. The rapid growth in demand for both OpenAI and Anthropic's tools supports this trend. However, companies are not abandoning their enterprise software platforms, and AI-generated applications cannot be deployed at scale, remaining in prototype, until they can reliably connect and work with enterprise data sets, and pass security, governance, and data privacy reviews. What companies want to prevent is a repeat of a previous situation in the late 2010s where numerous point solutions were purchased, resulting in a sprawl of tools that were not working well together, creating more technical debt over time. Another caveat for LLM use is its probabilistic nature, i.e., they are generating responses/outputs that are most likely true. Hence, an identical prompt can produce different and sometimes inaccurate outputs (hallucinations). In contrast, traditional software is deterministic, generating consistent, auditable, and more accurate results. There are workarounds to improve their reliability, but users are also aware of LLM limitations. As such, we believe LLM tools are at this point more complementary to traditional software than fully replacing them.

Anthropic's recent launch of software plug-ins underscores this point – that AI technologies create more value for their users through data access and workflow integration with software providers. For their part, vendors are building their own competitive LLM-powered alternatives, with the advantage of platform integration, enterprise data training sets, and engineering teams with deep product knowledge.

Profitability metrics show healthy near-to-medium term fundamentals. We see operating margin expansion despite higher opex (sales hiring/R&D) to broaden pipeline coverage and accelerate product innovation. Free cash flow and gross margins were more mixed due to infrastructure costs and product mix shifts. However, companies are becoming more profitable even on a GAAP basis. A common gripe about investing in growth software businesses is the lack of GAAP profits, as stock-based compensation makes up most of non-GAAP earnings. On this point, GAAP net margins are improving for the major application software firms under our coverage, and stock-based compensation as a percentage of total revenues is generally trending downwards for most firms.

Figure 2: Margins Reflect Growing Profitability



Source: CFRA, Company 10Ks, S&P Global Market Intelligence.

Accelerated share repurchases, insider buying, and pauses in executive stock selling programs reduce equity dilution and boost EPS growth. The sharp decline in share prices have prompted management to roll out a slew of share buyback programs and initiatives to attempt to steady prices and increase confidence. We believe these activities signal to investors that shares are undervalued, and the buyback programs will be beneficial to shareholders as these accelerated buybacks are executed.

Table 3: Noteworthy Capital Allocation Activities

Company	Share Buybacks and Other Shareholder Friendly Programs
CRM	▪ $12.7 billion spent in FY 26 (Jan.) (vs. $7.8 billion in FY 25) ▪ Increased share repurchase authorization to $50 billion
NOW	▪ $2.6 billion spent in 2025 (vs. $1.4 billion in 2024) ▪ New $5 billion share repurchase program with $2 billion immediate accelerated share repurchase (ASR) ▪ CEO is buying back shares ($3 million) ▪ Some executives cancelled their stock sales
SAP	▪ EUR1.9 billion in 2025 (vs. EUR 2.1 billion in 2024) ▪ New two-year EUR 10 billion share repurchase program
TEAM	▪ $977 million spent on share repurchases in the last 12 months (LTM; vs. $782 million in the prior 12-month period) ▪ 2H pace of buybacks to be 2x-3x 1H ▪ Founders paused stock selling plans
HUBS	▪ New $1 billion share repurchase program ▪ $521 million spent on buybacks in 2025 (vs. $22 million in 2024)
ADBE	▪ $11.7 billion on share repurchases in FY 25 (vs. $10.2 billion in FY 24) ▪ $5.9 billion left of $25 billion authorization
WDAY	▪ $2.9 billion on share repurchases in FY 26 (Jan.) (vs. $1.3 billion in FY 25) ▪ $2.9 billion left in authorization
INTU	▪ $4.3 billion on share repurchases in LTM (vs. $3 billion in 12 months prior) ▪ $3.5 billion left in authorization

Source: CFRA, Company 10-Qs, Investor presentations.

Software is not new to market corrections and fundamentals are stronger today. There have been a few distinct periods of multiple compression in the last 30 years. The dot-com crash was a notable event following years of speculation where multiples reached astronomical levels without earnings supporting them. Multiples fell dramatically again during the 2008 Financial Crisis; although that was attributed more to a liquidity crisis, rather than a tech-driven event. Perhaps the most trying time for the software industry was the massive correction in 2022 after the pandemic-fueled demand for cloud and software modernization. Multiples compressed by about 43% throughout 2022, before finally bottoming in November of that year. While it is always difficult to predict when compression will bottom, business fundamentals of software firms are now stronger than before. Software firms are far more profitable and resilient this time around, as management has prioritized a more balanced growth structure that is also focused on profitability. Between 2022 and 2023, the software industry doubled-down on cost optimization initiatives, cutting excesses and driving operational efficiencies. This continues to be a priority for the industry, as management often cite efficiency initiatives from AI adoption, modest headcount growth, and cost savings from G&A optimization.

Table 4: Comparison of Software Crashes

Time Period/Event	Valuation: Peak to Bottom	Time to Bottom	Pre-Cash EBIT Margin	Forward P/E at Peak	Notes
2000 Dot-com Crash	-65%	30 months	20%	60x	▪ Valuations at speculative levels ▪ Many companies had no earnings/cash flow
2008 Financial Crisis	-53%	11 months	31%	21x	▪ Valuations were reasonable ▪ Sell-off was mostly macro/liquidity driven
2022 SaaS Re-rating	-43%	12 months	33%	40.2x	▪ Elevated multiples ▪ Inflation & rate hikes triggered sell-off ▪ Cost optimization from customers
2025/2026 AI Disruption	Unknown	Unknown	42%	36.5x	▪ Fears of AI making software businesses obsolete

Source: S&P Global Market Intelligence.

While we believe the sell-off has been disproportionate to the assessed impact, we do not want to dismiss concerns about AI disruption. Risk is elevated because of the uncertainty of impact over the longer term. Although we have not yet seen any adverse impact to software demand from the AI tools created by the LLM vendors, the pace of innovation from these vendors has been astounding. Both OpenAI and Anthropic have been leading the AI community with the release of AI Agent builder tools, software integration kits, and enterprise-oriented solutions for a broadening range of use cases, including Agentic code development, financial data analysis, file management, and most recently code security. We expect the performance of these tools to continue to improve, while vendors broaden the range of domain-level offerings, intensifying concerns of product overlaps and share losses. Announcements of this nature have significantly pressured software stocks, and we see the potential for continued headline-driven pressures as the market remains nervous about the uncertainty of competitive displacements ahead.

We do not see innovation momentum abating from AI startups given the competitive pressures they face within their sub-industry, ample funding to raise R&D capacity, and significant growth rates that have fueled private investment in this area of tech. Most recently, Anthropic raised $30 billion in its Series G funding at a $380 billion valuation. The firm reported that the number of customers spending over $100,000 annually on Claude has grown 7x in the past year, and it now has more than 500 customers spending over $1 million annually, compared to a dozen just two years ago. Adoption metrics are also rising, fueling a nearly 14x in revenue run rates for the firm. Similarly, with OpenAI, its revenue run-rate has exceeded $20 billion at the end of 2025, up more than 3.3x from $6 billion in 2024, and the company just secured $110 billion in funding to support growth and infrastructure initiatives. OpenAI projects its revenue will top $280 billion by 2030, implying a five-year CAGR of 69%. While OpenAI's solutions were previously more consumer-focused, the company is expanding its enterprise footprint with more tools. Enterprise accounts are about 40% of the business, but this is projected to climb to 50% over time.

Seat compression is also a risk factor. AI has been a productivity driver for many companies, and headcount growth has been modest as firms adjust their workforce and processes with Agentic tools and automation solutions. Although management of software companies have said seat counts remain stable, or

in some cases increasing, we cannot ignore reports of layoffs announced by large companies (e.g., Amazon.com, MSFT, Pinterest, Block) of workforce attrition due to AI, and softening labor market trends in recent months. If job displacements by AI gathers pace, we could start to hear of seat contractions from software companies. A mitigating factor would be the hybrid pricing models that software companies are moving towards where increases in token/credit use from inference tasks could offset seat count pressures.

Investors were looking for top-line acceleration to drive a valuation rebound, but few have been able to achieve this. Software businesses had a high bar to clear entering the fourth quarter earnings season as investors were on the lookout for evidence to dispel fears of AI disruption. Despite many companies under our coverage achieving a "beat and raise" and reporting strong backlog and AI monetization metrics, market reactions were only positive with sequential top-line acceleration (PLTR, HUBS, DDOG), a feat in itself as companies face tougher comparisons each quarter and the law of large numbers. Looking ahead, if the market remains skeptical that software businesses will not get hurt by AI, we think many firms will either remain range-bound or fall further without exceptional performance to drive a valuation re-rating.

Monetary and fiscal policy is now more uncertain, taking away a near-term catalyst. The software industry has typically benefited from rate cuts as the reduced cost of capital supports higher appetite for IT spending. Markets entered 2026 with optimism that with easing inflation and a weaker jobs market, the Fed would be more inclined to trim rates up to three times in 2026. However, the February FOMC minutes now paints a different picture, where officials are now split on the trajectory of rate cuts, and not ruling out the possibility of hikes if needed to lower inflation closer to its 2% target. President Trump's Fed nominee, Kevin Warsh, also adds to an element of uncertainty regarding his position on the U.S.'s monetary and fiscal policies when the current Fed Chair's term ends in May.

Our technical ratings team has yet to find a bottom. Lowry Research, our technicals-based business, uses a proprietary Power Rating Relative Strength metric to measure stock demand. For the Software Group, there have been early indications of returning demand, although not enough to be confident that a bottom has been formed. Despite the sharp sell-off, there has not been a rush for investors to buy the dip (and certainly no consistent upward trend yet), and we think this could mean a prolonged period of range-bound prices or even further selling pressures ahead.

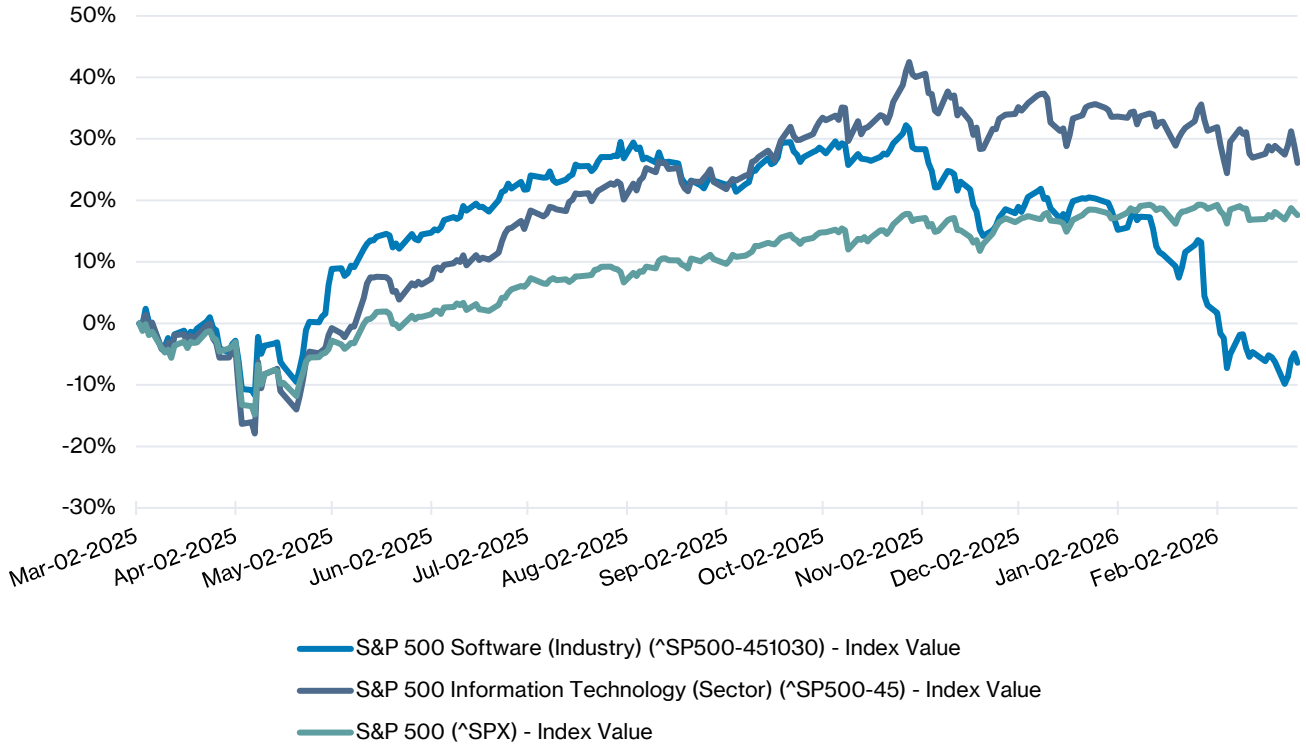
Taken together, we think elevated uncertainty and volatility warrant a more neutral view of software as valuations may stay range-bound. The sharp downward draft in software share prices reflect the "sell first" mindset of investors, and until there is a stronger body of evidence to prove that the tools from LLM vendors will not make all of software obsolete, we think investors could continue to see swings in the market. This could take a number of quarters to evaluate, as AI monetization is just starting to ramp for most software companies. Broader market conditions will also influence the demand for software as this interest is likely to be led by impressive AI-related growth in other technology sectors, like semiconductors. Meanwhile, we believe news of Anthropic/OpenAI tools and their growing business would likely continue to fuel headline headwinds.

Accordingly, it is important to be selective in software as we see upside in businesses that could eventually prove to be AI winners. While there will be unknowns ahead to the extent of disruption from LLM providers, we believe high quality companies will be able to weather this tough patch and emerge as share takers. We view single solution and legacy software vendors that are slow to pivot to an AI-first product strategy to be most at risk of customers choosing to replace them with their LLM-powered DIY applications. In contrast, highly-rated software providers with deep domain experience, built and delivered from the cloud, have large installed bases, and multi-product platforms will be most equipped to have a data advantage for LLM integration, and working partnerships with LLM providers to retain customers and maintain a strong presence in their enterprise workflows. Software vendors will also need to bring competitive AI tools to market quickly to capture expansion dollars from their existing customers, while attracting new logos. From a fundamental standpoint, we also favor profitable names that have expanding FCF margins, and have

shareholder friendly programs to raise EPS and slow equity dilution. These will be the companies with the best chance of sustaining revenue growth rates, AI monetization ramps, and EPS acceleration supporting a faster valuation recovery. Application software companies showing the most promise to weather this "SaaS-pocalypse" in our view include:

- **MSFT** is more than an application software company, and it offers the most comprehensive productivity application suite in the industry with a significant global installed base. It is also a leading AI solutions provider with numerous avenues to monetize AI adoption, including its Microsoft 365 Copilot suite/AI Agents, as well as embedded AI features on its expanded ecosystem of apps e.g., Developer and Data platform. Demand for its AI tools has been broad-based, and its loyal customer base positions the firm to be one of the biggest beneficiaries of AI adoption.
- **NOW** is successfully translating Generative AI capabilities into tangible revenue growth and customer adoption. The company's AI monetization strategy is gathering pace, with its Now Assist AI products demonstrating exceptional uptake, and driving ACV expansion and larger transactions. Yet, we are still in the early innings of AI penetration, and the firm's hybrid pricing model is positioned to capture seat additions and upgrades from access to Now Assist, as well as upside from Agentic consumption. Crucially, NOW has a broad multi-product platform organized around four core domains (IT Workflows, Employee Workflows, Customer Workflows and Creator Workflows), ranging from back-office to front-office roles, and expert domain knowledge, backed by years of testing and refinement. NOW is also one of the fastest innovators in the industry, anticipating new AI tool trends, and often launching ahead of peers. We think it's less likely that NOW's customers will leave the efficacy and reliability of the platform to build their own applications from scratch.
- Another enterprise software stalwart, **CRM** has demonstrated strong monetization of Agentforce, its autonomous AI agent platform. The company is capitalizing on the enterprise AI adoption wave, with Agentforce deals surging, and driving both new customer acquisition and expansion within the existing base. The velocity and success of its Agentic business has given management confidence to raise its FY 30 revenue guidance to at least $63 billion, implying organic growth of 10% plus annually from FY 26 to FY 30, while achieving a high-30% to 40% operating margin FY 30 (vs. 34% today). The firm has closed over 29,000 Agentforce deals reaching $800 million in ARR, with a growing pipeline of six- and seven-figure AI transactions, signaling that customers are moving from AI experimentation to larger-scale deployment. An important point to highlight is that CRM is the System of Work for over 150,000 customers globally, with over 90% of the Fortune 500 companies using the platform in a large number of domains, including customer service, marketing, and supply chain.
- **PLTR** has emerged as a clear AI winner by successfully translating the Generative AI boom into exceptional business momentum. The company's Artificial Intelligence Platform (AIP) has driven explosive demand, particularly in the commercial sector where U.S. revenue grew 94% Y/Y in Q4 2025. Successful transformation of businesses using PLTR's AI technologies has created a powerful flywheel effect, as customers expand their engagements with PLTR. The firm also has a strong working relationship with the U.S. government on multiple fronts, with revenues from its public sector vertical accelerating Q/Q. PLTR also has an exceptional Rule of 40 score of 127, demonstrating impressive growth in profitability and FCF generation while maintaining top-line acceleration.

Relative Performance



Source: S&P Global Market Intelligence (3/2/2025 to 3/2/2026).

Implications*

Positive implications: CFRA sees an improvement in company fundamentals, which could include (but are not limited to) improved pricing, strengthening backlog, market share gains, cost improvements, a more favorable regulatory environment, or improving demographic trends, over the next 12 months.

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